



Business Responsibility Report

Overview:

Laurus Labs strives for innovation to enhance quality and to provide affordable integrated pharmaceutical solutions to facilitate wellness and wellbeing across the globe. One Quality for all the Markets is the philosophy under which the Company operates its businesses. The Company strives to seek greater alignment between its stakeholders to generate value in the long term by delivering its promise.

Section A: General Information about the Company

1. Corporate Identity Number (CIN) of the Company	L24239AP2005PLC047518
2. Name of the Company	Laurus Labs Limited
3. Company Address	Registered Office: Plot No.21, Jawaharlal Nehru Pharma City, Parawada, Visakhapatnam – 531 021, Andhra Pradesh, India. Corporate Office: 2 nd Floor, Serene Chambers, Road No.7, Banjara Hills, Hyderabad – 500 034, Telangana, India.
4. Website	www.lauruslabs.com
5. E-mail ID	secretarial@lauruslabs.com
6. Financial year reported	April 1, 2021 to March 31, 2022
7. Sector(s) that the Company is engaged in (industrial activity code-wise)	NIC Code of product/service: 21001/21002 Description: Manufacturing of active pharmaceutical ingredients and Finished Dosage forms
8. List of three key products/services that the Company manufactures / provides (as in balance sheet)	Laurus manufactures Active Pharmaceutical Ingredients (API) for anti-retroviral, oncology, cardio vascular, diabetic and hypertension, nutraceutical and other products. Key Products: Efavirenz, Tenofovir (TDF), Gemcitabine and Finished Dosage Forms (FDF) of these Products and Bio Technology
9. Total number of locations where business activity is undertaken by the Company	There are six manufacturing facilities and one R&D Centre. Sriam Labs Pvt Ltd., the Subsidiary of the Company, has one manufacturing facility around Hyderabad. Laurus Synthesis Private Limited, the Subsidiary of the Company has one manufacturing facility in Visakhapatnam. Laurus Bio Private Limited (Formerly Richcore Lifesciences Private Limited), Subsidiary of the Company has Two manufacturing facilities in Bangalore. Laurus Generics SA (Pty) Ltd., a Subsidiary of the Company has its office at P O Box 1587, Gallo Manor, Gauteng, 2052. Laurus Holdings Limited, an UK Subsidiary of the Company has office Unit 32, City Business Centre, Hyde Street, Winchester Hants, SO23 7TA, United Kingdom. Laurus Generics Inc., an US step down Subsidiary of the Company has office at 200, Bellevue Parkway, Suite 210, Wilmington, County of New Castle – 19809. Laurus Generics GmbH, a German step down Subsidiary of the Company has office at C/o. Alfred E. Tiefenbacher, Van-Der-Smissen-Strasse 1, Hamburg DE – 22767.
10. Markets served by the Company – Local/state/national/international	The Company, in addition to marketing its products domestically, also markets its products globally over 60 countries. Around 71 % of sales are generated from international markets.

Section B: Financial details of the Company:

1. Paid up Capital	₹107.47 crore
2. Total Turnover	Gross turnover of ₹4,707.04 crore on standalone basis.
3. Total Profit After Tax	₹750.09 crore on standalone basis.
4. Total spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%)	CSR spend during the financial year 2021-22 was ₹11.50 crore (2.02 %) of last three years average Profit After Tax on standalone basis)
5. List of activities in which the expenditure in 4 above has been incurred	• Education • Health • Rural sports promotion, Eradicating hunger, poverty and malnutrition etc.



Section C: Other Details:

1. Does the Company have any subsidiary Company/companies	Yes, the Company has five Subsidiaries and two step down Subsidiaries, three Subsidiaries are located in India, one in United Kingdom and one in South Africa. One Step down subsidiary is located in United States of America and one in Germany. The Company also has one Associate Company in India.
2. Do the subsidiary company/ companies participate in the BR initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s)	The parent company undertakes majority of the BR initiatives
3. Do any other entity/entities (eg. Suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities.	Entities like suppliers, distributors did not participate in the Company BR initiatives in the reporting period.

Section D: BR Information

1. Details of Director responsible for BR

a) Details of the Director responsible for implementation of the BR policies:

Particulars	Details
DIN Number	00211921
Name	Dr. Satyanarayana Chava
Designation	Chief Executive Officer
Telephone No.	040-39804333
E-mail ID	secretarial@lauruslabs.com

b) Details of the BR head: Same as above

2. Principle-wise (as per NVGs) BR Policy/policies

Details of Compliance:

Sl. No.	Questions	Ethics	Product Lifecycle Sustainability*	Employees well-being	Stakeholders engagement	Human rights	Environment	Policy advocacy	Community Development (CSR)	Customer Value
		P1	P2	P3	P4	P5	P6	P7	P8	P9
1	Do you have policies for	Yes	No	Yes	No formal policy yet	No formal policy yet	Yes	No	Yes	No
2	Has the policy being formulated in consultation with the relevant stakeholders?	Yes	N.A.	Yes	N.A.	N.A.	Yes	N.A.	Yes	N.A.
3	Does the policy conform to any national/ international standards? If yes, specify.	Yes, We follow GRI guidelines	N.A.	Yes. We follow ISO45001	N.A.	N.A.	Yes**	N.A.	Yes	N.A.
4	Has the policy being approved by the Board? If yes, has it been signed by MD/ owner/ CEO/ appropriate Board Director?	Approved by HOD	N.A.	Yes	N.A.	N.A.	Yes	N.A.	Yes	N.A.
5	Does the Company have a specified committee of the Board/ Director/ official to oversee the implementation of the policy	Yes	N.A.	Yes	N.A.	N.A.	Yes	N.A.	Yes	N.A.
6	Indicate the link for the policy to be viewed on-line	www.lauruslabs.com Intranet	N.A.	Intranet	N.A.	N.A.	Intranet	N.A.	www.lauruslabs.com	N.A.



Sl. No.	Questions	Ethics	Product Lifecycle Sustainability*	Employees well-being	Stakeholders engagement	Human rights	Environment	Policy advocacy	Community Development (CSR)	Customer Value
		P1	P2	P3	P4	P5	P6	P7	P8	P9
7	Has the policy been formally communicated to all relevant internal and external stakeholders?	Yes	N.A.	Yes	N.A.	N.A.	Yes	N.A.	Yes	N.A.
8	Does the Company have in-house structure to implement the policies?	Yes	N.A.	Yes	N.A.	N.A.	Yes	N.A.	Yes	N.A.
9	Does the Company have a grievance redressal mechanism related to the policies to address stakeholders' grievances related to the policies?	Yes	N.A.	Yes	N.A.	N.A.	Yes	N.A.	Yes	N.A.
10	Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	No	N.A.	Yes	N.A.	N.A.	Yes	N.A.	Yes	N.A.

The policies are framed as per the national standards applicable to India.

* Definition Product Lifecycle Sustainability: It is an approach to managing the stages of – product existence so that any negative impact on the environment is minimised. Although we have done Life Cycle Assessment) for Curcumin and Resveratrol in earlier years, there is no policy in place.

** Policy is in line with ISO 14001 international standards.

3. Governance related to BR

- Indicate the frequency with which the Board of Directors, Committee of the Board or CEO assess the BR performance of the Company: **Annually.**
- Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published? **BR is published as part of Annual Report every year and Sustainability Report is being prepared for every two years and latest report is of 2021 which is placed on the website of the Company at www.lauruslabs.com.**

- How many stakeholder complaints have been received in the past financial year and what percentage was satisfactorily resolved by the management?

The Company has received 45 investor complaints and all of them have been resolved satisfactorily and no complaint is pending for resolution as on March 31, 2022.

Principle-2 – Product Life Cycle Sustainability

- List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.

Carbon footprint study carried out for two of nature identical products Lamivudine & Dolutegravir

- For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional)

Reduction during sourcing/production/distribution achieved since the previous year throughout the value chain?

Reduction during usage by consumers (energy, water) has been achieved since the previous year?

- Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof.

The Company has laid down standard operating procedures for the selection of its vendors, which is inclusive of sustainable sourcing aspects. Natural products sourcing is in accordance with Nogoya protocol and Biodiversity Act.

Section-E : Principle-wise Performance

Principle-1 – Ethics

- Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/No. Does it extend to the group/joint ventures/suppliers/contractors/NGOs/ others?

The Company is committed to building a strong ethical organisation. Currently, the policy relating to ethics, bribery and corruption cover only the Company. However, the Company has adopted a Code of Conduct policy which is applicable to all supervisory, executive and managerial employees of the Company including the board members and also covers subsidiaries as well but not extended to others vendors/others.



4. Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work?

The Company needs to follow certain procedures in terms of sourcing of materials and based on the availability preference will be given for the domestic sources. Contract workmen were engaged from the local community.

5. Does the Company have a mechanism to recycle products and waste? If yes, what is the percentage of recycling of products and waste? Also, provide details thereof, in about 50 words or so.

Yes, the Company has a mechanism to recycle or dispose waste materials. The solvents are recovered and reused wherever possible in the process.

Principle-3 – Employee Wellbeing

1. Please indicate the total number of employees

5,131

2. Please indicate the total number of employees hired on temporary/contractual/casual basis

3,344

8. What percentage of your under-mentioned employees were given safety & skill up-gradation training in the last year?

	R&D (%)	U-1 (%)	U-2 (%)	U-3 (%)	U-4 (%)	U-5 (%)	U-6 (%)	Total (%)
Permanent employees	90	100	85	100	95	100	80	93
Permanent women employees	80	100	74	100	100	100	100	93
Casual/ Temporary/ Contractual employees	95	100	90	100	100	100	83	95
Employees with disabilities	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.

Principle-4 – Stakeholders engagement

1. Has the Company mapped its internal and external stakeholders?

Yes

2. Out of the above, has the Company identified the disadvantaged, vulnerable & marginalised stakeholders?

Yes

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalised stakeholders. If so, provide details thereof, in about 50 words or so.

The Company implements all special protection rights such as Whistle blower mechanism, minority shareholders' rights etc. and implements all Corporate Governance Practices with highest standards so that all stakeholders gets their due share of benefits.

Principle-5 – Human Rights

1. Does the policy of the Company on human rights cover only the Company or extend to the group/joint ventures/suppliers/contractors/NGOs/others?

The Company is yet to implement the formal policy.

3. Please indicate the number of permanent women employees
388

4. Please indicate the number of permanent employees with disabilities

Nil

5. Do you have an employee association that is recognised by the management?

No

6. What percentage of your permanent employees is member of this recognised employee association?

Not applicable

7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

Nil

2. How many stakeholder complaints have been received in the past financial year and what per cent was satisfactorily resolved by the management?

Nil

Principle 6 – Environment

1. Does the policy cover only the Company or extends to the group/joint ventures/suppliers/contractors/NGOs/others?

The Company and its subsidiaries

2. Does the Company have strategies/initiatives to address global environmental issues such as climate change, global warming, etc.?

As part of the global warming and climate change, Company complies with avoiding use of ozone depleting chemicals CTC, EDC, CFC etc. This year we are taking climate risk assessment studies.

3. Does the Company identify and assess potential environmental risks?

Yes. New products are introduced after proper HAZOP and environmental impact assessment. Also company carries out aspect-impact study for all activities and based on the assessment necessary actions are initiated to control the environmental impact if any.



4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so?

No

5. Has the Company undertaken any other initiatives on clean technology, energy efficiency, renewable energy etc.?

Yes. To minimise power usage LED lights have been used and more efficient agitators, temperature controller for process cooling tower fans, VFD arrangement to screw compressors, chillers, AHUs etc. have been provided. Solar panels are installed at units to use renewable energy as well. To promote clean and green transportation we are using battery operated vehicle and electrical vehicle inside the plant.

6. Are the emissions/waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Yes

7. Number of show cause/legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as at the end of the financial years.

Nil

Principle-7 – Policy advocacy

1. Is your company a member of any trade and chamber of association? If yes, Name only those major ones that your business deals with.

The Company is a member in –

Confederation of Indian Industry

Pharmaceuticals Export Promotion Council of India

The Federation of TG and AP Chambers of Commerce & Industry (FTAPCCI)

Bulk Drugs Manufacturers Association

JNPC Manufacturers Association

The Associated Chambers of Commerce & Industry of India

Indo American Chamber of Commerce, Hyderabad

Indian Drug Manufacturers Association

Federation of Indian Chambers of Commerce and Industry

2. Have you advocated/lobbied through above associates for the advancement or improvement of public good? Yes/No; if yes, specify the broad areas.

No, but the Company implements various CSR activities for the advancement or improvement of public good.

Principle-8 – Community Development (CSR)

1. Does the company have specified programmes/initiatives/projects in pursuit of this policy? If yes, details thereof.

Promoting Education, Health and sanitation. The Company collaborated with Universities for providing practical training as part of curriculum in M.Sc course.

2. Are the programmes/projects undertaken through in-house team/own foundation/ external NGO/government structures/ any other organisation?

In house team and Own Foundation

3. Have you done any impact assessment of your initiative?

No

4. What is your Company's direct contribution to community development projects – amount and details of the projects undertaken?

₹11.50 crore, detailed CSR Projects have been provided in the Board's Report which forms part of Annual Report.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community?

Yes

Principle-9 – Customer value

1. What percentage of customer complaints/consumer cases are pending as on the end of the financial year?

Nil

2. Does the Company display product information on the product label, over and above what is mandated as per local laws?

Based on specific customer requirement

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/ or anti-competitive behaviour during the last five years and pending as on end of the financial year?

Nil

4. Did your Company carry out any consumer survey/consumer satisfaction trends?

No